

If your child is already a teen, you might be wondering if it's too late to make a difference.

Here's the truth:

If your teen is still living at home with you, you've got more influence than you know. After all, there are things that your parents have said and done that stick with you to this day, right?

Well, this week we're going to create some money memories for your kids . . .

Make a statement

At the next Money Meal, I want you to set the scene.

Begin by explaining what credit is (because kids aren't often taught about money in school, you may find they have no idea). What your kids need to know is that while products change—from credit cards, to store credit, to Afterpay, to payday predators like Nimble—the game hasn't changed since Al Capone was a boy: the aim of credit providers is to turn your money into theirs.

The key point you want to communicate is:

'Credit is borrowing money to buy things. And the interest you pay makes everything you buy more expensive.'

The biggest purchase you make on your credit card is . . . interest. Make no dog bones about it, the game is designed that way. Credit cards are compound interest, but in reverse. They're designed to blow out and grow bigger and bigger, even if you stop spending.

And as your credit card debt increases, your self-confidence decreases. You look at your bill and you say to yourself, 'I'm no good with money . . . and I never will be.'

Okay, so now it's time to make it real for your kids.